

QUANTIFY CASE COMPETITION 2026

TEAM ANALYSTS

TILESHIELD INSURANCE • AI LIABILITY INSURANCE

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A limited endorsement launch is conditional

OPTION B

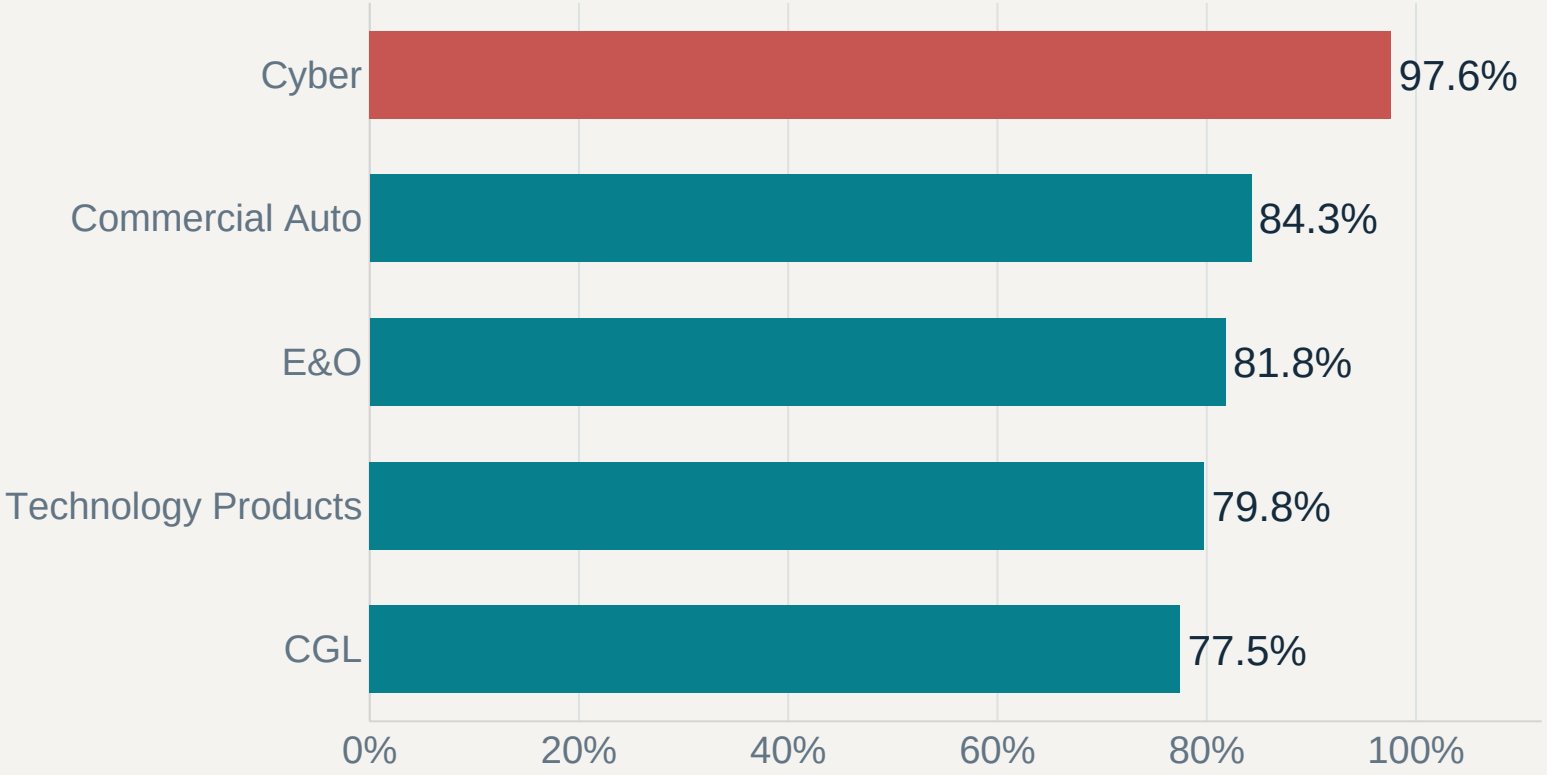
Selected existing SMEs
Verified AI uses
E&O + Technology Products

Launch gate	Evidence required
Customer value	Clear additional protection
Economics	Willingness to pay meets technical price
Risk capacity	Common-event stress fits approved budget
Operations	Wording, data and claims process ready

If a gate fails, continue capability building before binding.

Source: Quantify 2026 case, Sections 2, 4–5. Team Analysts revised recommendation.

Profitable underwriting supports a measured pilot



84.0%

2025 company combined ratio

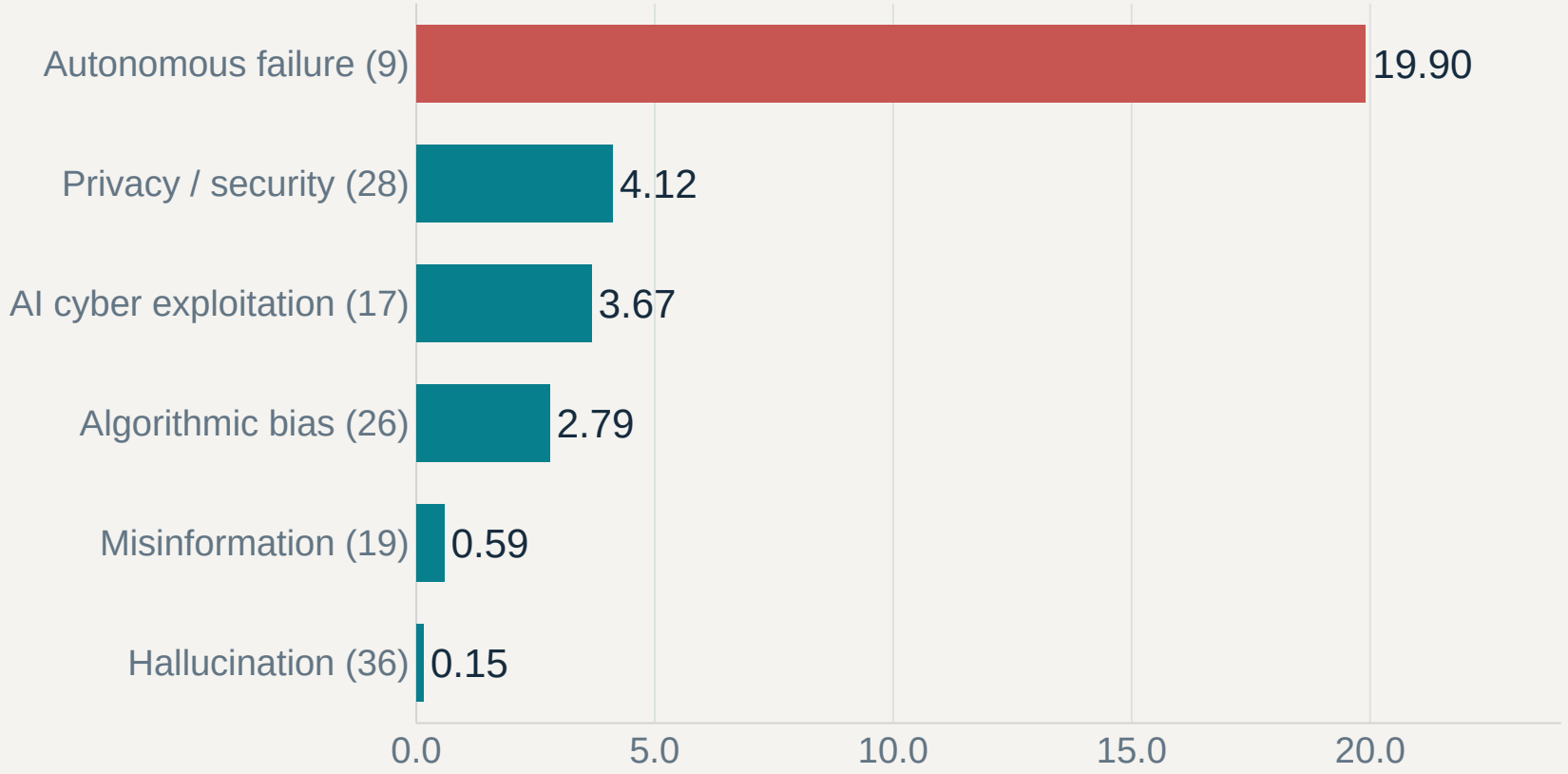
CAD 133.45M

2025 underwriting profit

Available capital and reinsurance remain launch conditions.

Source: Exhibit A, 2025. Combined ratio = (incurred losses + expenses) / earned premium.

Autonomous failures concentrate estimated severity



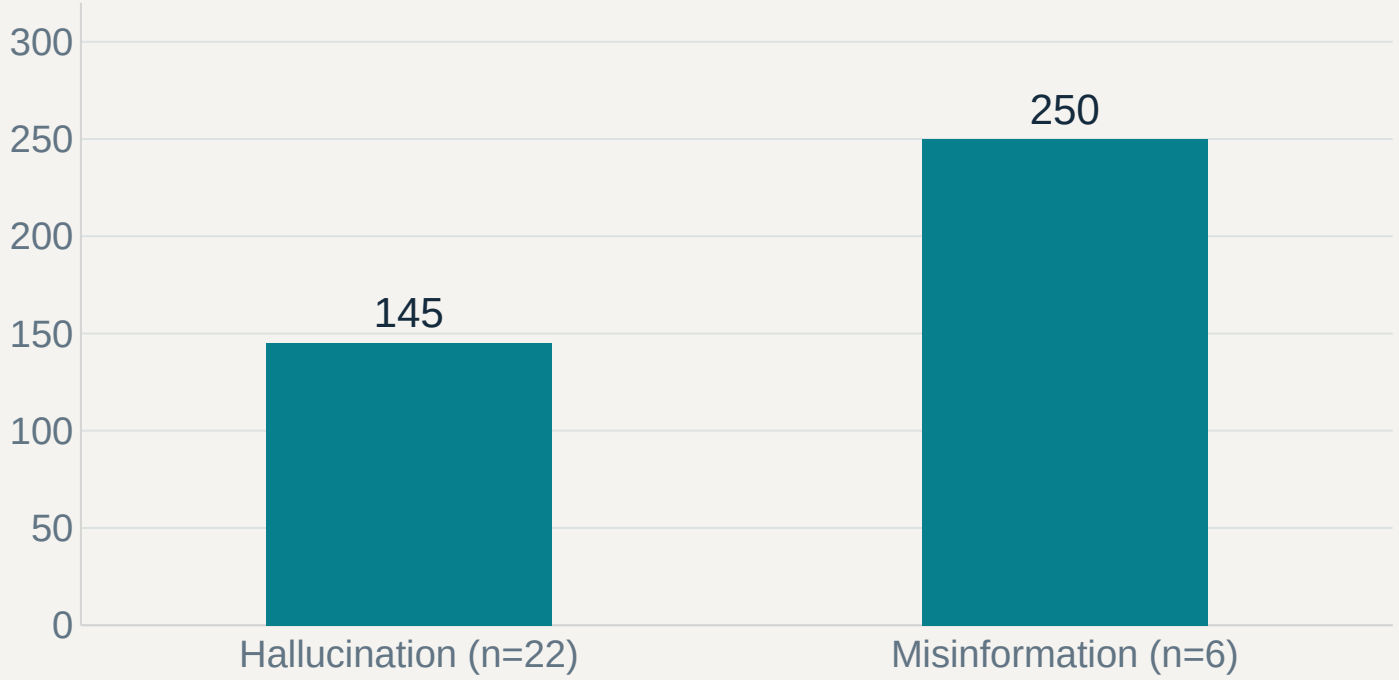
40.2%

of estimated loss from 9 autonomous failures

Mean estimated insured loss (CAD millions). Counts appear in brackets.

Source: Exhibit B, 135 external incidents. Estimated insured losses in CAD, not TSI claims.

The initial candidate group is much smaller



28 observations

CAD 167,643
combined mean estimate

Initial exclusions: autonomous action, bodily injury and IP.

CAD thousands. Candidates still require insured-role, harm and policy-fit review.

Source: Exhibit B. Supervised hallucination and misinformation, before coverage eligibility review.

Customers need a clear additional coverage promise

Design question	Endorsement decision
What changes?	Affirm specified uses or buy back a defined exclusion
How much responds?	AI sublimit and its relationship to the parent limit
Who handles the claim?	Defence costs, counsel and settlement authority
What if the use changes?	Reporting rules and contractual consequences

Confirm the gap in the existing policy before charging for it.

Source: case policy definitions. Proposed terms require review of the actual underlying wording.

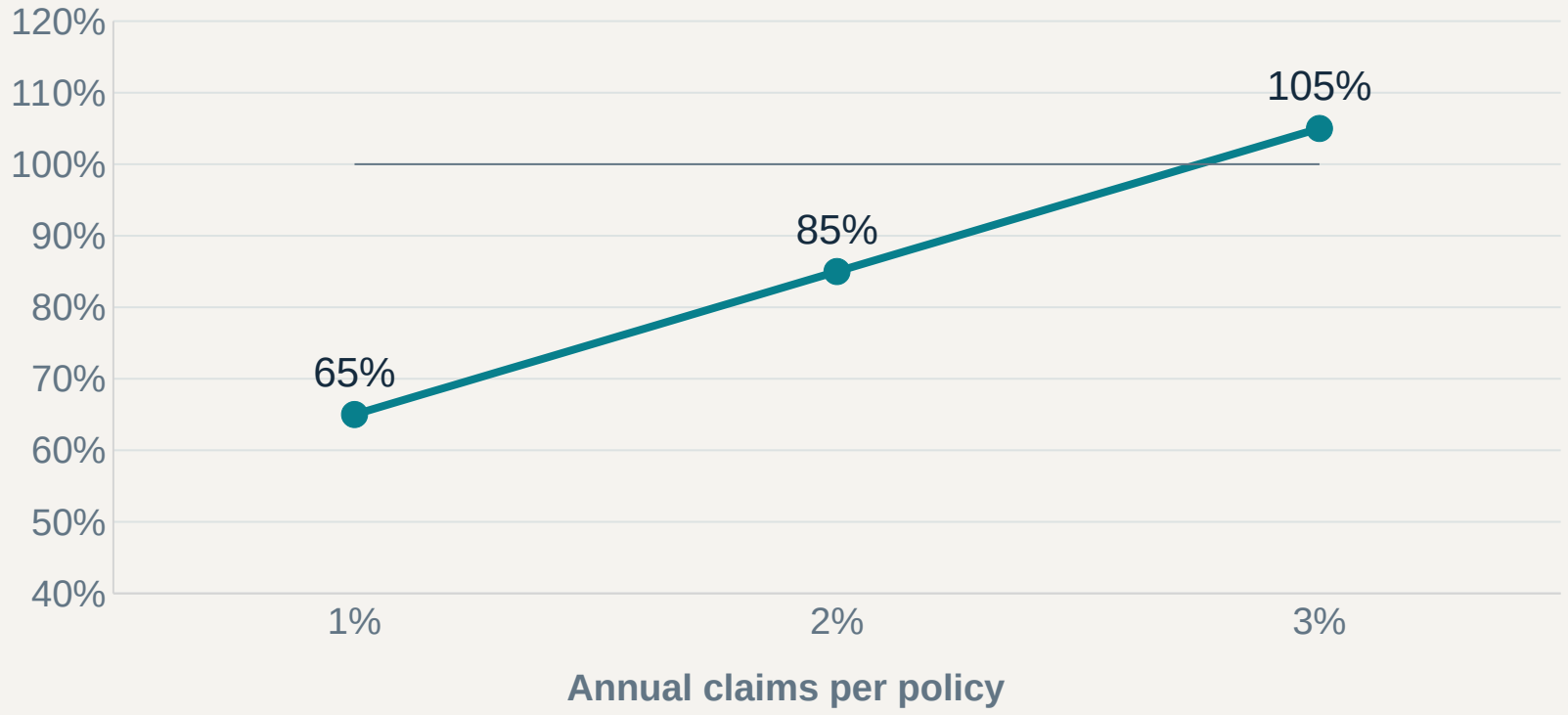
B offers a practical route when its economics work

Option	Advantage	Choose when
A Standalone	Distinct coverage and pricing	Demand supports separate product costs
B Endorsement	Existing customers and infrastructure	Added value, technical price and capacity align
C Build capability	Learn before assuming new risk	Demand, pricing or operational gates fail

The advantage comes from execution and scope, not the label alone.

Source: case Options A–C. Comparison assumes similarly narrow coverage scope.

Illustrative pilot economics have a clear break-even



2.75%

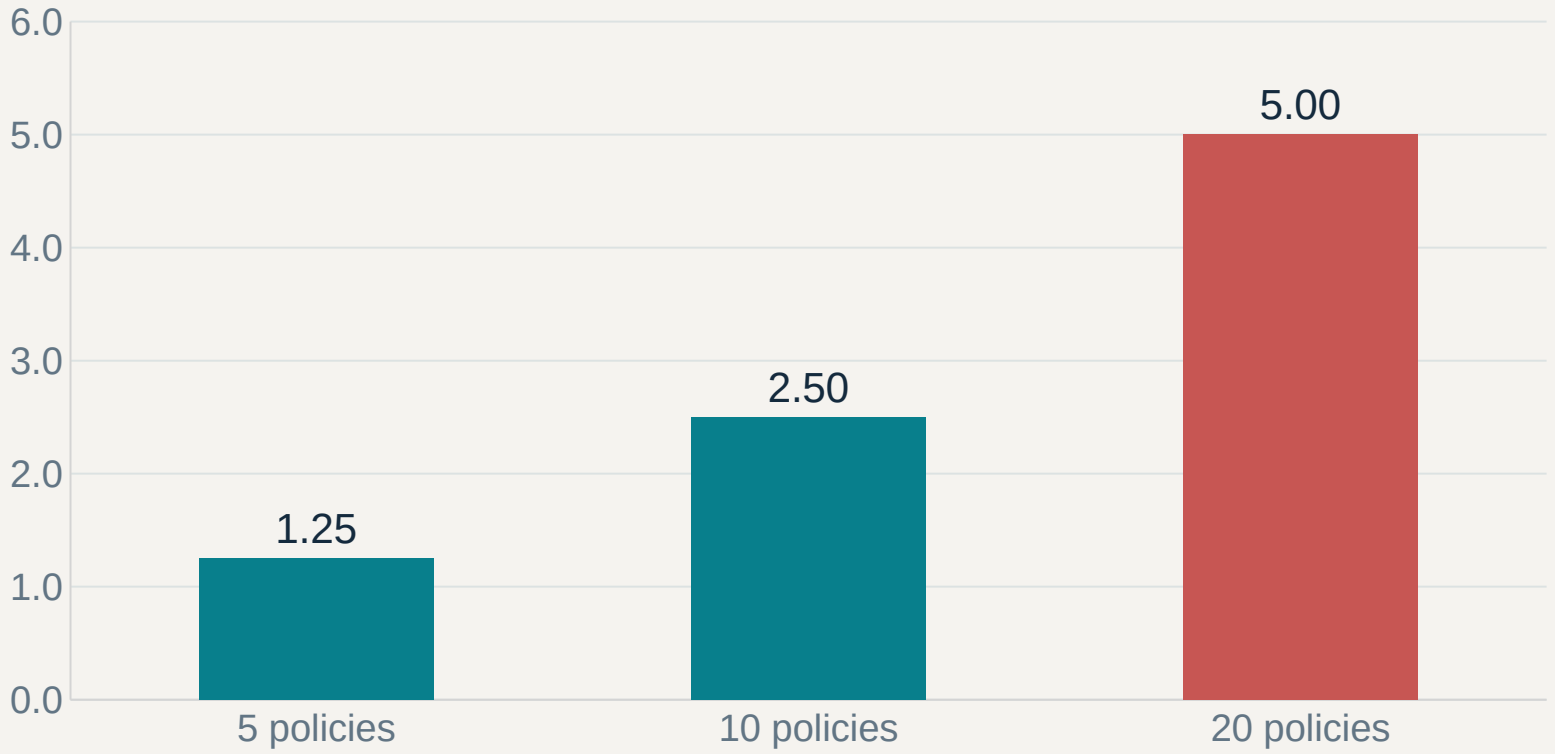
break-even annual claims per policy

Mean covered cost: CAD 100,000 including defence

A lower customer price or higher covered cost can reverse the decision.

Assumptions only. 100 full policy-years; CAD 5k premium each; 25% variable expenses; CAD 100k fixed cost.

Shared vendors can create correlated claims



CAD 5M

20 affected policies can exceed a small pilot’s premium base.

Gross stress in CAD millions. Compare with approved risk capacity.

Illustrative gross scenario. CAD 250k average covered cost per affected policy; no event probability implied.

Expansion requires evidence beyond the first renewal

Stage	Evidence and action
Months 0–3	Validate demand, wording, technical price and risk budget
Months 3–6	Bind only approved uses with complete control evidence
Monthly / quarterly	Review controls, claims, defence costs and dependencies
First renewal	Continue, adjust future terms or pause new business

Existing obligations remain after new business stops.

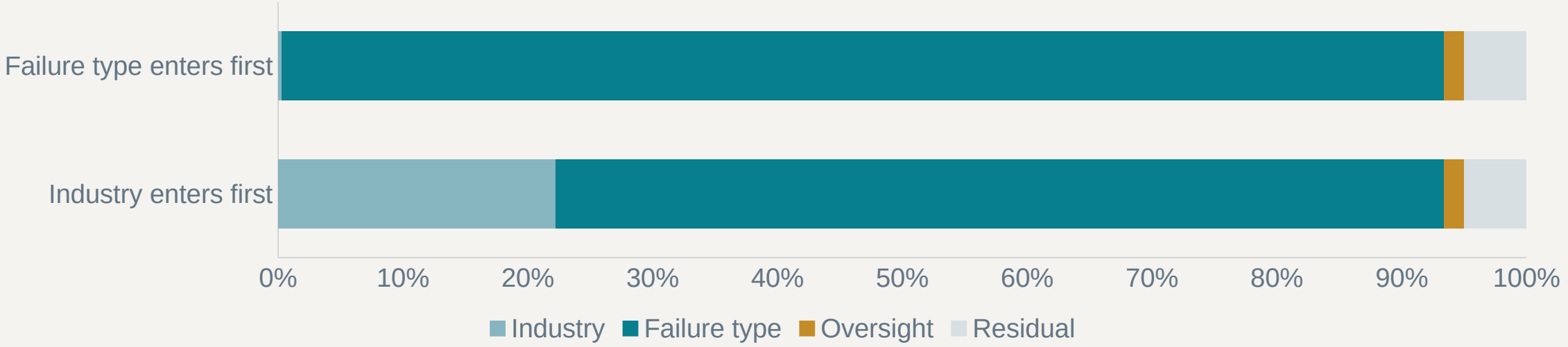
Team Analysts proposed milestones. First annual renewal is earliest Month 15 if binding begins in Month 3.

Appendix A: financial definitions

Metric	Calculation	Interpretation
Frequency	Claims / exposure	Claims per compatible exposure unit
Severity	Incurred loss / claims	Historical cost per claim
Pure premium	Incurred loss / exposure	Frequency × severity
Combined ratio	(Loss + expense) / premium	Below 100% means underwriting profit
Underwriting profit	Premium − loss − expense	Annual flow, not available capital

Source: Exhibit A and case glossary. Source money: CAD thousands; analysis outputs: CAD.

Appendix B: model attribution changes with order



0.27%

industry's unique share of total log-loss variance

0.651

conditional oversight geometric-mean ratio
Association only. No automatic premium discount.

Source: Exhibit B. Additive categorical OLS on log loss; n=135; R^2=95.01%.

Appendix C: five-year company results

Year	Earned premium	Underwriting profit	Combined ratio
2021	606.43	104.88	82.71%
2022	582.52	92.18	84.18%
2023	623.14	95.52	84.67%
2024	843.40	131.70	84.38%
2025	834.22	133.45	84.00%

2025 premium declined 1.09%; historical profit does not establish AI capacity.

Source: Exhibit A. CAD millions; company combined ratios use aggregate amounts.

Appendix D: evidence boundaries and sources

Evidence	Permitted use
Exhibit A, 2021–2025	Historical underwriting performance
Exhibit B, n=135	External severity segmentation and model checks
Geneva / HSB / Coalition	Demand hypotheses and product-structure context
AIID/CSET and DAIL	Historical extracts unavailable; percentages omitted
Pilot economics	Explicit assumptions, not observed TSI results

Original DAIL extraction: Aug. 2, 2026. Full citations: docs/sources.md.